

Will Shakespeare is a struggling playwright in sixteenth-century London. As the price he receives for writing a play increases, he is willing to write more plays. Given the following situation, shift the demand and/or supply curve(s) and move the equilibrium point to its new position.

Event: The playwright Christopher Marlowe, Shakespeare's chief rival, is killed in a bar brawl.

In the accompanying diagram, shift the demand and/or supply curves and move the equilibrium point to its new position to illustrate how the following event affects the equilibrium price and quantity of pizza.

Event: The incomes of consumers rise, and pizza is an inferior good.

Event: The price of tomato sauce falls.

Event: Consumers and pizza makers expect the price of a pizza to fall next week.

Determine how the equilibrium price and equilibrium quantity in the market for coffee changes if

- the price of tea, a substitute for coffee, decreases,
- and due to better weather, the price of coffee beans also decreases.

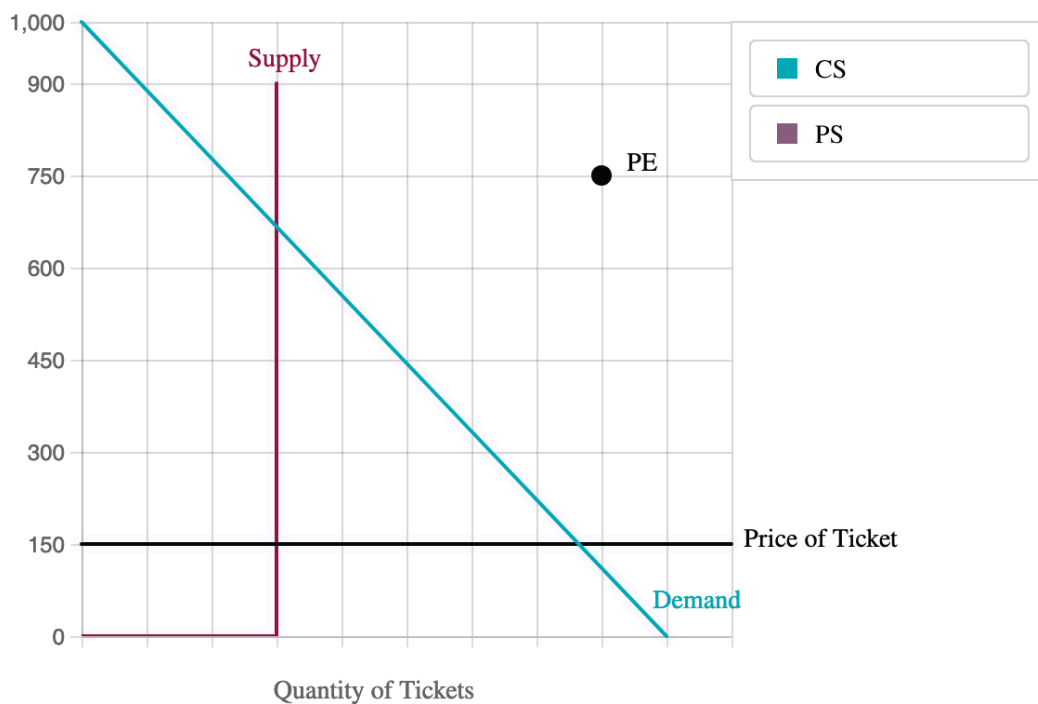
The accompanying table shows the supply and demand schedules for used copies of a widely used medical textbook. The supply schedule is derived from offers at Amazon. The demand schedule is hypothetical. Assume that the demand schedule exactly reflects buyers' willingness to pay.

a. Calculate consumer and producer surplus at the equilibrium in this market.

Price of book	Quantity of books demanded	Quantity of books supplied
\$55	50	0
60	35	1
65	25	3
70	17	3
75	14	6
80	12	9
85	10	10
90	8	18
95	6	22
100	4	31
105	2	37
110	0	42

On December 17, 2015, tickets for Adele's highly anticipated U.S. concert tour went on sale at Ticketmaster on a first-come, first-served basis. Throughout the day, a record of 10 million people tried to purchase the 750,000 tickets available. In an attempt to prevent ticket scalping, Adele and Ticketmaster limited buyers to four tickets per concert and required that premium seat holders present the credit card used to purchase tickets to get into the concert. Despite these attempts to restrict resale, tickets on secondary sites like StubHub were selling for 10 times their face value.

- a. In the accompanying diagram, place point P_E to depict the equilibrium price of tickets if the price were allowed to fluctuate based on supply and demand.
- b. Shade the areas which depict consumer surplus (CS) and producer surplus (PS) in the market.



Market for Taxi Rides in NYC

